

The House View: Snapshot The Impact of the Middle East

Deutsche Bank

Macro views

World

- Global growth at 3.4% in 2026, 3.3% in 2027.
- Rationale:** Trade uncertainty is easing, a global structural shift towards fiscal impulse is boosting growth, and accelerating impact of AI continues to drive the broader macro outlook.
- Key risks:** Escalating tensions in the Gulf and oil market impact; AI sell-off sparks major market rotation; and tariff uncertainty is back after IEEPA tariffs are struck down.

Europe

- Growth resilient pre Iran conflict. GDP to pick up from 1% in 2025 (Q4/Q4) to 1.5% in 2026. The German fiscal easing is becoming visible, with orders rising strongly.
- Rationale:** Now, higher energy costs and uncertainty could weigh. Much depends on breadth and duration of conflict.
- Key risks:** Conflict adds upside inflation risk, downside growth risk. The current level of energy costs could crowd out 0.25pp of GDP in 2026. Geopolitical uncertainty so far could cost another 0.25pp of GDP.

China

- Government lowered 2026 growth target to 4.5 - 5% range for "risk prevention and structural reforms." Still, China's economy is setting course to reflation.
- Rationale:** Resilience to oil shock owing to lower reliance on oil for energy and increased stockpiles. Higher oil prices might also help end China's deflation. Renminbi's internationalization will accelerate, fostering the CNY's appreciation during 2026-27.
- Key risks:** Escalated geopolitical tension disrupting global supply chains. Deepening property sector downturn.

United States

- 2026 growth is projected at 2.6%, supported by easy financial conditions, fiscal support and fading trade uncertainty.
- Rationale:** While labor market data shows volatility, we anticipate stabilization with unemployment remaining near recent levels (~4.4%) through year end. PCE inflation forecast has risen given recent outperformance and a lift from energy prices.
- Key risks:** A more substantial oil price shock could weaken real disposable income; financial conditions might tighten, perhaps driven by concerns around AI disruption or (private) credit risks.

Germany

- 1.5% GDP in 2026 and 2027, driven by government and private consumption, as well as an increase in investment spending.
- Rationale:** Fiscal impulse key to German growth. Expansionary pick-up in defence and infrastructure public spending.
- Key risks:** Germany remains highly exposed to the energy cost shock and consequent deterioration of its current account. However, maintains solid NIIP so is better able to buffer against external shocks.

India

- 7.5% yoy GDP for FY27 (FY26 at 7.6%).
- Rationale:** Less growth risks following finalized deals with the US and India-EU free trade agreement. Unless Brent breaches sustainably above \$90/bbl, FY27 fiscal deficit target of 4.3% of GDP looks likely to be achieved.
- Key risks:** Current account deficit could rise to \$65bn in FY27 (~1.5% of GDP) vs. our \$45.6 bn (1.0% of GDP) baseline, under Middle East conflict. Rupee tests its all-time lows; keep year-end target of USD/INR unchanged at 90.

Key downside risks

- H Geopolitics.** Less than three months into 2026, geopolitics continues to drive volatility. The US policies toward Venezuela and Greenland, and the US/Israeli military strikes on Iran suggest markets need to be prepared for what comes next.
- M AI.** Questions over AI's impact on economic disruption, especially the labour market, continues to mount, although this discussion comes as much of the global economy sees a period of solid economic momentum.
- M Trade wars.** US 10%-15% retaliation against SCOTUS decision throws tariffs back into the spotlight, while US-China rivalry will continue to bifurcate supply chains, with critical minerals and semiconductors as ongoing flashpoints for escalation.

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Market views

	Market Sentiment	- Despite the rapidly developing Middle East conflict, its market impact remains contained so far. - Global stocks excluding the US continue a seemingly unstoppable rally, even with choppy earnings, high valuations, and a difficult macro backdrop. Rising bond yields are due to the unwinding of expected rate cuts and an 'AI scare,' not higher oil prices. - AI-driven boom-and-bust narratives will keep dominating market sentiment and shaping the broader macroeconomic outlook.
	Equities	- S&P 500 year-end 2026 target: 8000; STOXX 600 year-end 2026 target: 650. - Recent declines suggest unwind of previous positioning build-up rather than changes with fundamental drivers. - Overweight US and Europe; underweight Japan; neutral emerging markets.
%	Rates	10yr UST at 4.45% year-end 2026; long Dec-26 €STR as a hedge; long UST5Y spreads (target -21bp); EUR 10s30s TP (target 120bp, stop 85). - Maintain higher equilibrium view in the US due to strong growth, stabilizing labour market, increased government spending and easy financial conditions.
	Credit	- Year-end 2026 targets: \$IG 105bp; \$HY 380bp. €IG 103bps; €HY 355bp. - Moderate spread widening and volatility into 2026. Monitoring HY under geopolitical duress. - Preference for €-credit over \$-credit due to healthier EU banks, lagged ECB easing & FX-hedged yield advantage.
	FX	- Year-end 2026 targets: EUR/USD to 1.25; USD/JPY to 145. - Dollar currently benefitting from global supply shock and higher energy prices. Longer-term forecasts point to weakness though contingent on geopolitical stabilisation.
	Oil & Gold	- Scenario 1- Reopening Strait: Brent ~\$80/bbl, falls to \$70/bbl. - Scenario 2- Ambiguous closure: Brent \$80-100/bbl despite OPEC adding supply in April. - Scenario 3 - Full scale enforced closure: Brent \$130-150/bbl. - Gold: Year-end 2026 target: \$6,000/oz; average \$5,500/oz through 2026 and 6,200 through 2027.
	Monetary Policy	- Fed: 25bps cut in Sep, bringing Fed Funds rate into 3.5-3.75% range. - ECB: 2.0% terminal rate reached; 25bps hike by mid-2027. - BoJ: 25bps hike in Apr & Oct, taking policy rate to 1.25% by YE. - BoE: 25bps cuts in Jun & Nov, taking Bank Rate to 3.25%. - PBoC: Unchanged at 1.4% through 2026.

Key macro & markets forecasts

GDP growth (%)			Central bank policy rate (%)				Key market forecasts			
	2026F	2027F		Current	Mar 26F	Jun 26F		Current	Jun-26F	Dec-26F
Global	3.4	3.3	US: Federal Funds Rate	3.625	3.625	3.625	US 10Y yield (%)	4.15	4.30	4.45
US	2.6	2.1	Eurozone: Deposit Facility Rate	2.00	2.00	2.00	EUR 10Y yield (%)	2.87	2.90	3.10
Eurozone	1.1	1.3	Japan: Policy Balance Rate	0.75	0.75	1.00	S&P 500	6781	7450	8000
Germany	1.5	1.5	UK: Bank Rate	3.75	3.75	3.50	Gold	5196	5300	6000
Japan	0.8	1.0	China: 7d OMO Rate	1.40	1.40	1.40	EUR/USD	1.16	1.20	1.25
UK	1.1	1.4					USD/JPY	158	-	145
China	4.5	4.3								

2026 Macro events calendar

March 2026			April 2026			May 2026		
18	CA	Bank of Canada Decision	2	US	ECB Economic Bulletin	4	EZ	ECB Decision
18	US	Fed Decision	8	US	FOMC Meeting Minutes	14	EZ	ECB Economic Bulletin
18-19	JN	Bank of Japan Decision	27-28	JN	Bank of Japan Decision	20	US	FOMC Meeting Minutes
19	UK	Bank of England Decision	29	US	Federal Reserve Decision			
19	EZ	ECB Decision	29	CA	Bank of Canada Decision			
			30	UK	Bank of England Decision			
			30	EZ	ECB Decision			



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